

The Dealer-Market Segment of the Financial System

Executive summary

The “dealer-market” (or “dealer-maker”) segment is the part of the financial system in which intermediaries regularly **buy and sell financial instruments for their own account** (as principals) and stand ready to provide **immediacy** to other market participants. In U.S. securities law terms, a “dealer” is a person engaged in the business of buying and selling securities for its **own account**, whereas a “broker” effects transactions for the **account of others**. ¹ Dealers that post continuous two-sided quotes or otherwise undertake venue-specific quoting obligations are commonly called **market makers**. ²

Across asset classes, the dealer segment performs a common economic role: it **absorbs temporary order imbalances**, carries **inventory**, and transforms **funding liquidity** into **market liquidity**. This balance-sheet intermediation is central to market functioning but becomes fragile when dealer balance-sheet capacity is scarce—e.g., during stress events when many investors want to sell simultaneously. The New York Fed’s empirical work on U.S. Treasuries finds that when dealer balance-sheet utilization is high, Treasury market liquidity can be materially worse than predicted by volatility alone, consistent with “occasionally binding” intermediation constraints. ³

Dealer business models are diverse but share a common profit engine: **earning small spreads and fees across high volumes while strictly controlling inventory, funding, and adverse-selection risk**. Public filings from large dealers describe market-making revenues as coming from (i) **bid/offer spread** capture and (ii) **inventory value changes** plus funding/hedging economics. ⁴ The SEC’s equity market-structure analysis also highlights how wholesalers can provide price improvement to retail orders yet still earn realized spreads that exceed those on exchanges (after adjusting for exchange rebates), implying a positive “competitive shortfall” in favor of wholesalers in the analyzed data. ⁵

Funding is the other half of the dealer model. Dealers finance inventory heavily through **secured funding** (repo and securities lending/borrowing), supplemented with unsecured debt, internal capital, and—at bank-affiliated dealers—customer deposits and centralized treasury. Dealers are repeatedly observed to adjust balance sheets via repo, and classic central-bank research calls dealer repo “the primary margin of adjustment” for intermediaries’ balance sheets. ⁶ Recent U.S. official-sector work also emphasizes the massive scale and evolving transparency of repo markets (including OFR data initiatives and rules). ⁷

Regulation is foundational. U.S. broker-dealers are governed by the SEC’s **net capital rule** (Rule 15c3-1), requiring net capital above prescribed minimums, and by the **customer protection rule** (Rule 15c3-3) requiring reserve accounts for customer funds and possession/control protections. ⁸ Large bank dealers face Basel III risk-based and non-risk-based constraints, including the **leverage ratio**, **Liquidity Coverage Ratio (LCR)**, and **Net Stable Funding Ratio (NSFR)**—all of which can raise the shadow “cost of balance sheet space” that market making consumes. ⁹

Competition is uneven across market types. In U.S. equities, SEC analysis for Q1 2022 shows only **six wholesalers** accounting for **23.9% of all executed share volume in NMS stocks** (and **59.4% of off-exchange share volume**), while exchanges account for 59.8% of executed share volume. ¹⁰ Among those six, the top two wholesalers accounted for ~66% of wholesalers' executed share volume, signaling concentration. ¹¹ In large OTC markets (bonds, repos, swaps, commodities, FX), internationally active bank dealers are few: Duffie notes that the bulk of OTC trade is intermediated by "roughly 15" large dealers (banks or broker-dealer subsidiaries). ¹²

On ETFs, the creation/redemption mechanism links primary-market issuance with secondary-market liquidity. Under the SEC's ETF rule framework, **authorized participants (APs)** may create/redeem "creation units" and can act as principal or as agent for others (including market makers), receiving fees for processing creations/redemptions. ¹³ "Starting an ETF to be the market maker" is generally not a shortcut to guaranteed profits: the sponsor earns management fees, while market-making profits depend on secondary-market volume, hedging efficiency, funding, and competitive dynamics. Sponsor-market maker overlap is possible via affiliated broker-dealers, but it introduces conflicts and compliance burdens (e.g., affiliated-transaction constraints and custom-basket controls designed to prevent inappropriate differential treatment of APs). ¹⁴

Dealer and market-maker roles, definitions, and market design

A useful organizing lens is "**immediacy provision**": dealers commit to trade when natural counterparties are not immediately available or when search/coordination frictions are too high. This is explicit in SEC explanations of broker-dealer roles: brokers trade for others; dealers trade for their own account, and broker-dealers generally must register because the broker/dealer boundary triggers regulatory obligations. ¹⁵ Consistent with that, SEC commentary on dealer definitions emphasizes that dealers facilitate investor trading by being willing to trade as principals when investors cannot immediately find other investors with whom to trade. ¹⁶

Market makers are "dealers with obligations," but the form varies by venue and asset class:

In **equities**, exchanges and SROs define and enforce quoting and fair-and-orderly-market obligations for registered market makers. For example, Nasdaq rule text describes "Market Maker Obligations" including quotation requirements and a "Two-Sided Obligation." ¹⁷ NYSE-related rules similarly emphasize continuous two-sided quoting obligations for certain market maker categories (and periodic updates reflect broader market-structure changes like the definition of round lots). ¹⁸ FINRA rules also include two-sided quotation obligations for certain FINRA market maker contexts. ¹⁹

In **listed options**, exchanges impose distinct quoting regimes (e.g., Competitive Market Makers and other classes) and periodically update these requirements. ²⁰

In **OTC markets** (fixed income, many derivatives, FX), formal "market maker" designations may be less central than the economic reality: a small set of large dealers intermediate most flow. Duffie's Baffi Lecture frames OTC markets (bonds, repos, swaps, commodities, FX) as mostly intermediated by about 15 large dealers. ¹²

In **ETFs**, secondary-market liquidity providers typically hedge using (i) the ETF shares themselves, (ii) correlated instruments, and (iii) the **creation/redemption** channel to convert ETF shares into the underlying basket (or vice versa), using AP capabilities. ¹³

This leads to a practical taxonomy that is helpful analytically:

“Bank dealers”: large multi-asset institutions whose market-making is embedded in broad “Markets / Sales & Trading” segments and relies on a bank balance sheet plus broker-dealer subsidiaries. (Examples: Goldman Sachs, JPMorgan, Citi, Bank of America, UBS.) ²¹

“Nonbank / electronic principal market makers”: firms optimized for high-volume, low-latency, multi-venue liquidity provision (often across equities, options, futures, FX, and ETPs). (Example: Virtu; also many major firms remain private.) ²²

“Specialist / designated roles”: intermediaries with special responsibilities in auctions or on specific listing venues (e.g., NYSE DMMs), where the market design itself forces constrained “competition per security” (one DMM assigned). ²³

Business models and revenue streams in dealer market making

Dealer-market revenues typically combine transacting economics (spreads/fees) with balance-sheet economics (financing and inventory P&L). A robust way to decompose revenue is along two axes: **(a) what risk is being warehoused** and **(b) who is paying whom** (client, venue, or dealer treasury).

Bid-ask spread and realized spread capture is the canonical channel. Virtu, a specialized market maker, states that it “generate[s] revenue by buying and selling large volumes ... while earning small bid/ask spreads,” and that volatility and volumes strongly influence capture rates. ²⁴ Large bank dealers describe market making in similar terms: Goldman explicitly frames market making as seeking the bid/offer spread and maintaining market-making inventory positions (trading assets/liabilities) that are held and risk-managed in response to client demand. ²⁵ Citi’s Markets segment describes its market-maker role as earning the “differential” between buy and sell prices, with inventory gains/losses recorded in principal transactions and related interest flows in net interest income, alongside fee revenue for services such as trading, financing, brokerage, securitization, and underwriting. ²⁶

Inventory value changes and hedging/funding economics are inseparable from spread capture for many banks. Goldman notes that results are influenced by client activity (including bid/offer spreads) and by “market-making inventory changes,” which include inventory valuation plus interest income/expense for holding/hedging/funding inventory. ²⁷ JPMorgan similarly documents that principal transactions revenue is affected by client activity, the bid-offer spread, liquidity/volatility, and “inventory-related revenue” linked to positions held to meet client demand and manage risk exposures. ²⁸

Customer/client financing and prime brokerage are major, sometimes underappreciated, revenue engines. In bank dealer disclosure, “financing” lines often cover margin loans, securities lending/borrowing, and other collateralized lending. For example, Goldman’s Equities segment includes “Equities financing,” explicitly covering prime financing (margin loans) and lending/borrowing to cover short sales and facilitate client activity. ²⁹ Citi’s Markets segment likewise includes “financing and prime brokerage” as core services. ²⁶ Financing revenues are economically a “spread business” on the liability side: dealers provide leverage and balance-sheet transformation to clients while managing haircuts, term, and basis risks.

Payment for order flow and wholesaling economics are often misunderstood as “a revenue stream” for market makers; in many cases, it is an expense that is rationalized by downstream spread capture. Virtu’s disclosure explicitly nets “payments for order flow” into a major expense line (“Brokerage, exchange, clearance fees and payments for order flow, net”).³⁰ PFOF is, however, a revenue stream for some brokers; for dealers/wholesalers it is commonly a customer-acquisition cost. Public reporting on routing and related remuneration is shaped by SEC Rule 606 (order routing disclosure) and SEC rulemaking on execution transparency.³¹

Exchange rebates, fees, and market-data economics matter because they can convert microstructure design into dealer P&L. Exchanges commonly operate fee/rebate schedules (e.g., “maker-taker” style incentives). The SEC’s Regulation NMS amendments (including updates to Rule 610) directly target access fee caps and fee/rebate transparency and have reduced access fee caps for many NMS-stock executions, reflecting regulatory concern with fee/rebate distortions.³²

ETF creation/redemption and ETP arbitrage economics are a specialized but important channel. Market makers that are also APs can convert between ETF shares and the underlying basket to manage inventory and tighten spreads. Virtu discloses that it is an authorized participant that can create/redeem ETPs.³³ Citi’s Markets segment similarly integrates market making with financing and prime services, consistent with multi-instrument hedging and inventory management in ETFs and related products.²⁶

Funding sources, capital structure, and balance-sheet mechanics

Dealer market making is “balance-sheet intensive,” and the balance sheet is funded—and constrained—in highly specific ways.

Secured financing: repo and securities lending are central. Official-sector monitoring emphasizes that dealers with large inventories are important repo borrowers: in repo, dealers borrow cash short-term while delivering securities as collateral; securities lending can be an alternative form of financing.³⁴ Recent U.S. official reporting also highlights the massive scale of repo exposures and the role of central clearing and tri-party settlement infrastructure.³⁵ These are not mere plumbing details: dealer inventory in Treasuries, agency MBS, corporate bonds, and equities can be financed (or “unfinanced”) quickly, and funding liquidity shocks can force dealers to widen spreads, reduce size, or step back from intermediation.

Dealer balance-sheet adjustment via repo is emphasized in central-bank research: changes in dealer repos are described as a key adjustment margin for aggregate intermediary balance sheets and are linked to broader measures of financial-market risk appetite.³⁶

Prime brokerage and clearing relationships are both revenue and funding infrastructure. Large banks provide prime financing (margin loans, securities borrowing/lending) to hedge funds and other leveraged clients, generating financing revenue, but prime-broker relationships are also critical infrastructure for many nonbank market makers (access to financing, securities borrow, and clearing). Goldman’s disclosures show prime financing embedded in equities financing.²⁹

Customer balances and deposits matter mainly for bank-affiliated dealers. Dealer groups with banking entities can fund portions of their market-making inventory with deposits and centralized treasury, but deposit funding tends to be regulated and can become expensive or volatile under stress. Morgan Stanley’s

disclosures show that net interest is a function of trading assets/liabilities and financing structures including securities borrowed/purchased under agreements to resell and securities loaned/sold under agreements to repurchase, as well as “Deposits and Borrowings.” ³⁷ Citi explicitly notes that secured funding is primarily accessed through broker-dealer subsidiaries and is used to fund (i) secured lending and (ii) a portion of securities inventory held in market making and customer activities, typically collateralized by government debt securities. ³⁸

Unsecured debt, committed credit lines, and internal capital complete the stack. Dealers (especially stand-alone market makers) typically maintain equity plus term debt and revolving credit facilities; within banking groups, internal transfer pricing and centralized liquidity buffers allocate “balance sheet space” across businesses. The economic importance of funding costs is stressed in dealer-liquidity research: increases in funding costs and capital/failure-resolution rules can raise the cost of providing market liquidity and shrink balance-sheet-intensive intermediation. ¹²

A practical schematic of dealer capital structure is:

Equity and retained earnings (loss-absorbing buffer; enables inventory and regulatory compliance)
Secured short-term funding (repo, securities lending; finances rates/credit inventory)
Unsecured funding (bonds/CP; backstop and term structure)
Client-related balances (margin/prime balances; deposits for banks; governed by customer protection rules in broker-dealers)
Internal liquidity capital (bank treasury; stress liquidity buffers)

The key analytical point is that dealer profitability is often bounded by the **shadow price of balance-sheet capacity**—a combination of regulatory capital, leverage, liquidity constraints, and market funding spreads.

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Regulation: capital, liquidity, market structure rules, and constraints on dealer risk

Dealer activity is “permissioned intermediation”—you typically cannot do it at scale without becoming subject to a layered regulatory perimeter.

Broker-dealer capital: SEC net capital rule. The SEC’s Rule 15c3-1 requires brokers or dealers to maintain minimum net capital at all times (and not be insolvent), with minimums determined by the applicable paragraph and activity. ⁴⁰ FINRA guidance emphasizes “moment to moment” compliance with haircut requirements before taking new proprietary positions, even intraday. ⁴¹ This is not cosmetic: market making is intrinsically proprietary-position-intensive, and net capital haircuts act as a direct constraint on inventory, especially for equities, options, and less liquid bonds.

Alternative net capital computations and supervisory approvals. The SEC describes an “alternative method” via Appendix E to Rule 15c3-1, which requires broker-dealers to apply for authorization to use the alternative net capital computation. ⁴² Such regimes matter because modern electronic market makers often scale by leveraging robust risk systems and diversified portfolios, which can interact with how capital is computed and supervised.

Customer protection: SEC Rule 15c3-3. The customer protection rule requires broker-dealers that hold customer cash/securities to maintain customer reserve bank accounts (and PAB reserve accounts) with cash/qualified securities computed under a specified formula. ⁴³ The SEC has also amended these rules to require daily reserve computations for certain large carrying broker-dealers and made related changes to net capital rules (including debit-item reductions) in its 2024 final rulemaking. ⁴⁴ This affects dealer funding: customer cash isn't a free-floating funding source; it is segregated/controlled under specific formulas.

Market structure and disclosure rules shape economics. Rule 606 (Reg NMS) requires broker-dealers to disclose order routing information (a key transparency mechanism for retail order flow and wholesaler economics). ⁴⁵ Regulation NMS also governs access-fee caps and fee transparency (Rule 610), and the SEC has amended these rules to reduce access-fee caps and increase transparency of exchange fees and rebates. ³² These parameters influence whether liquidity provision is paid via spreads, rebates, internalization economics, or a mixture.

Bank dealer capital and liquidity under Basel III. Globally systemic bank dealers face Basel III constraints. The Basel leverage ratio is a non-risk-based backstop with a 3% minimum test/requirement in the Basel framework. ⁴⁶ The LCR requires an adequate stock of unencumbered HQLA to withstand a 30-day stress scenario. ⁴⁷ The NSFR requires a stable funding profile relative to the composition of assets and off-balance-sheet activities. ⁴⁸ Dealer-liquidity research argues these constraints can raise the cost of "balance sheet space" needed for market making, especially in low-risk fixed-income intermediation where risk-based capital may be low but leverage and liquidity constraints still bind. ¹²

Proprietary trading constraints and market-making exemptions. For banking entities, the Volcker Rule restricts proprietary trading but acknowledges exemptions, explicitly including market making and underwriting among permitted activities. Bank of America's 2024 Form 10-K summarizes this structure and notes that firms with significant trading operations must maintain detailed compliance programs. ⁴⁹ This compliance boundary is critical to how banks document "market making" vs "proprietary positioning" and to how dealer inventories are risk-managed and reported.

Repo and securities financing reporting and clearing reforms. The U.S. Office of Financial Research (OFR) has instituted and expanded repo data initiatives, and it adopted a final rule establishing daily reporting for certain large exposures in non-centrally cleared bilateral repo, aimed at closing data gaps in repo market oversight. ⁵⁰ As dealer intermediation migrates toward central clearing and sponsored repo models, the regulatory/market-infrastructure boundary becomes part of dealer strategy (netting and balance-sheet relief vs. margin and default-fund costs). ⁵¹

Economics, concentration, and barriers to entry across asset classes

Market concentration indicators and what they imply

A compact, official snapshot of U.S. equity execution concentration is given by the SEC's Order Competition proposing release (Q1 2022, NMS stocks):

Market center type	Share of all executed share volume	Share of off-exchange share volume	Count of venues (as reported)
Exchanges	59.8%	—	16
Wholesalers	23.9%	59.4%	6
Other off-exchange (ATS + non-ATS)	16.3%	40.6%	4 ATS + 209 non-ATS

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This has two structural implications. First, “wholesaler” activity is a large fraction of all equity executions despite being a tiny set of firms/venues. Second, off-exchange competition may look broad in venue count (hundreds), yet a majority of off-exchange share volume is executed by wholesalers. ¹⁰

Concentration within wholesalers is also high. The SEC reports that among the six wholesalers identified in Q1 2022, the top two accounted for approximately 66% of wholesalers’ total executed share volume. ¹¹ Even without the exact split between the top two, a conservative concentration bound (assuming the two leaders split volume evenly and the remaining four split the remainder evenly) yields an implied wholesaler HHI of roughly 2,467—near the conventional “high concentration” threshold used in antitrust screening (2,500), and the true HHI would be higher if the top-two split is uneven. ⁵²

The economics of that concentration show up in execution and spread statistics. The SEC’s analysis of internalized retail orders indicates that wholesaler realized spreads can exceed exchange realized spreads (after adjusting for rebates), producing positive “competitive shortfall” estimates under multiple methods. ⁵

In OTC markets, concentration historically manifests as a “core-periphery” structure: a small set of large dealer banks intermediate the bulk of trading in bonds, repos, swaps, commodities, and FX. Duffie explicitly quantifies this as “roughly 15” large dealers for the bulk of OTC intermediation. ¹²

Profitability drivers and cost structure

Dealer profitability is typically driven by the interaction of:

Market volatility and volume. Virtu notes that overall volumes and realized volatility, the attractiveness of order flow, and retail participation are key drivers; when volatility rises, spreads can widen and market-makers’ capture rate per notional amount can increase. ⁵³ Citi similarly states that increases in client activity levels or bid/offer spreads generally increase revenues, and that market variables (rates, FX, equities, commodities, credit spreads and volatilities) drive Markets results. ²⁶

Inventory risk management and hedging efficiency. Bank dealers disclose that they maintain inventory in response to client demand and hedging needs and that inventory valuation plus funding/hedging costs are integral to market-making results. ⁵⁴

Funding costs and balance-sheet constraints. Dealer liquidity research argues that post-crisis capital/failure-resolution rules and higher funding spreads make balance-sheet usage more expensive, reducing dealers' willingness to intermediate low-spread products unless compensated. ⁵⁵

Microstructure fee environment. Exchange fees/rebates and access fee caps shape whether liquidity provision is compensated via spreads, rebates, internalization economics, or hybrid models; the SEC's Rule 610 amendments reflect ongoing policy concern with these incentives. ³²

A practical breakdown of dealer cost structure (illustrative, based on public disclosures across firms) typically includes:

Transaction-variable costs: exchange and clearing fees; brokerage and clearance; market data and connectivity; PFOF (for wholesalers); securities borrow costs; hedging friction; and financing costs (repo spreads, unsecured spreads). Virtu's segment reconciliation highlights "Brokerage, exchange, clearance fees and payments for order flow" as a large (negative) component, and interest/dividend expense as another major deduction from trading income. ³⁰

Fixed and semi-fixed costs: technology (systems engineering, co-location/latency investment), risk/compliance staffing, legal/regulatory overhead, and operational resiliency. Virtu emphasizes that technology and scalable automated processing allow expansion at little incremental cost, which is central when profit per trade is small (particularly in U.S. equities). ⁵⁶

Barriers to entry

Dealer market making has high and multi-layered entry barriers:

Regulatory permissions and registrations. Acting "as a business" in buying/selling for own account can trigger dealer status and related registration obligations; U.S. statutory definitions and recent SEC rulemaking on dealer status reflect regulatory attention to this boundary. ⁵⁷

Capital and liquidity requirements. Net capital haircuts constrain inventory and require continuous compliance; customer protection rules restrict use of customer funds; bank liquidity ratios and leverage ratios constrain balance-sheet growth. ⁵⁸

Exchange memberships, clearing access, and settlement infrastructure. Market makers often need exchange memberships, clearing relationships, and operational readiness to meet continuous quoting obligations. Nasdaq and NYSE-related rule texts formalize market maker obligations. ⁵⁹

Technology and data. Ultra-low latency strategies require co-location, high-performance networking, market data, and robust automated risk controls. Virtu repeatedly describes technology and optimized infrastructure as core to being a low-cost liquidity provider. ⁵⁶

Counterparty relationships and order-flow sourcing. Retail wholesaling depends on broker routing relationships and disclosure/regulatory scrutiny under Rule 606; institutional market making depends on deep client relationships and credibility in risk transfer. ⁶⁰

Case study: Treasury market stress and the “dealer capacity” channel

The “dash for cash” period of March 2020 is widely used to illustrate dealer intermediation limits: liquidity deteriorated as selling pressure required intensive dealer balance-sheet intermediation, and constraints became binding. The NY Fed’s Staff Report on dealer capacity formally documents this mechanism in U.S. Treasuries. ³ More broadly, funding-market disruptions (e.g., repo stress episodes) highlight the coupling between dealer funding liquidity and market liquidity; research on repo market disruptions during balance-sheet normalization underscores how repo dynamics can become stressed when reserves and intermediation capacity are scarce. ⁶¹

ETFs, authorized participants, and the feasibility of “starting an ETF as a market maker”

Creation/redemption mechanics and the AP’s role

Modern ETF market structure hinges on a two-layer mechanism:

Secondary market: investors trade ETF shares on exchanges or off-exchange venues like any stock. Liquidity providers quote two-sided markets, hedging exposures intraday.

Primary market (creation/redemption): specialized entities called **authorized participants** transact directly with the fund in large blocks (“creation units”). The SEC explains that APs purchase and redeem ETF shares directly from the ETF in creation units; an AP may act as principal for its own account or as agent for others (including market makers, proprietary trading firms, hedge funds), receiving fees for processing creations/redemptions on their behalf. ⁶² In a creation, the AP delivers to the ETF a “basket” of securities/assets (plus a cash balancing amount) equal in value to the NAV of the creation-unit shares; the AP then receives ETF shares. ⁶² The reverse occurs in redemptions.

This architecture supports arbitrage: if ETF shares trade at a premium, creating shares and selling them can push price back toward NAV; if at a discount, buying ETF shares and redeeming can pull price back up—subject to transaction costs, hedging frictions, and basket feasibility.

Economics for ETF market makers and APs

The main economic levers for ETF liquidity providers are:

Spread and microstructure income in the ETF shares (tight markets at high volume can produce meaningful gross trading income over time). ⁶³

Hedging efficiency (using the underlying basket, correlated instruments, futures, options, and/or creations/redemptions).

Creation/redemption processing economics: APs can earn fees for processing creation units for others. ⁶² ETFs may also charge transaction fees for creation/redemption-related costs, with regulatory constraints (e.g., discussion of a 2% fee cap under rule 22c-2 in the ETF rule release context). ⁶⁴

Importantly, **ETF sponsors** (the fund/manager) generally monetize via management fees and scale, not via secondary-market market-making spreads. Market makers and APs monetize trading and intermediation.

Conflicts and whether an ETF sponsor can also be a market maker

Legally and operationally, an ETF sponsor can be affiliated with broker-dealers, and broker-dealer affiliates can be APs or market makers, but the structure raises conflict and compliance issues.

Affiliated transactions: ETF creations/redemptions often occur in-kind, which can implicate Investment Company Act affiliated-transaction restrictions (Section 17(a)). The SEC's ETF rule adoption release discusses the need for relief mechanisms to allow efficient functioning of arbitrage even when APs become affiliated by ownership thresholds, emphasizing that purchases/redemptions are at NAV. ⁶⁵

Custom baskets and fairness controls: the SEC requires policies and procedures governing basket construction/acceptance, including detailed parameters and review processes for "custom baskets," and it emphasizes controls to prevent inappropriate differential treatment among authorized participants. ⁶⁶

In other words: sponsor–market maker overlap is not categorically forbidden, but it must be structured to manage conflicts (favorable baskets, informational asymmetry, preferential AP treatment), comply with broker-dealer rules (best execution, disclosures), and satisfy fund governance and compliance obligations.

Feasibility assessment: "Start an ETF as a market maker to earn profits"

From a purely mechanical standpoint, you can create an ETF sponsor platform and also run (or affiliate with) a broker-dealer market maker/AP. But as a business plan, "launch ETF → be market maker → earn profits" faces hard constraints:

You do not control market-making profits by launching the ETF. Market-making profits depend on **secondary-market volume**, competition, and hedging costs—variables largely outside the sponsor's control. Citi's and JPMorgan's disclosures underscore how market-making revenues are driven by market variables, client activity, and inventory dynamics. ⁶⁷

You must build two regulated businesses, not one: an ETF sponsor/adviser complex and a broker-dealer market maker/AP. Broker-dealer net capital and customer protection rules (and, if bank-affiliated, Basel liquidity/capital rules) impose real balance-sheet costs. ⁶⁸

Conflicts can reduce distribution and acceptance. If the sponsor is also the dominant liquidity provider, other APs/market makers may be less willing to support the product, harming liquidity—which then harms both sponsor asset growth and market-making economics. The SEC's emphasis on avoiding differential treatment of APs reflects this systemic concern. ⁶⁹

Scale is usually required: specialized market makers describe profitability as "small per trade" requiring massive automation and volume to produce attractive returns. ⁷⁰

Net: it is generally more feasible to (a) launch an ETF and contract/attract multiple market makers/APs, or (b) operate a market-making/AP business across many existing ETFs, than to launch an ETF primarily to capture market-making spreads.

Public market-making operators, disclosure-based comparison, and why many firms stay private

Public companies with market-making businesses

The table below highlights **publicly traded firms** that disclose market making / dealer intermediation as part of their business, using **public filings and official reports** as evidence. “Revenue mix” is approximate and filing-specific (different firms report “net revenues,” “principal transactions,” “net trading income,” or segment revenues differently).

Company (ticker)	Dealer/market-making footprint (evidence)	Filing-reported scale proxy	Revenue mix indicators (illustrative)
Virtu Financial (VIRT)	Describes Market Making segment across equities, fixed income, currencies, crypto, commodities; commits capital as principal; earns small bid/ask spreads; is an authorized participant able to create/redeem ETPs. ⁵⁶	2024 Adjusted Net Trading Income (total) \ \$1.598B; Market Making \ \$1.195B (74.8%). ³⁰	Expense line includes “brokerage, exchange, clearance fees and payments for order flow” (net) and interest/dividend expense—showing the importance of microstructure and funding costs. ³⁰
Flow Traders (FLOW.AS)	Publicly describes itself as a global liquidity provider/trader in ETPs and other products; its results disclosures emphasize “net trading income” and trading capital management. ⁷¹	Trading capital and net trading income metrics are central in results reporting (firm-specific presentation). ⁷¹	Revenue is primarily trading income (net trading income), highly sensitive to volatility and volumes (as discussed in its results materials). ⁷¹
Marex Group (MRX)	Discloses a “Market Making” segment and principal-based intermediation as part of its business model (filed annual report exhibit). ⁷²	Segment reporting in annual report identifies Market Making contribution and diversification across services. ⁷²	Mix typically includes market making plus agency/broking and other services (firm-specific segment reporting). ⁷²

Company (ticker)	Dealer/market-making footprint (evidence)	Filing-reported scale proxy	Revenue mix indicators (illustrative)
Goldman Sachs (GS)	Defines market making as earning bid/offer spreads and maintaining market-making inventory (trading assets/liabilities), with net revenues driven by client activity and inventory/funding dynamics. ²⁵	2024 Global Banking & Markets net revenues \ \$34.943B; FICC \ \$13.204B; Equities \ \$13.431B (within segment table). ⁷³	Discloses intermediation vs financing lines (FICC intermediation/financing; Equities intermediation/financing), highlighting spread + financing model. ⁷³
JPMorgan Chase (JPM)	Describes “Markets revenue” and “principal transactions” as arising from client-driven market-making and inventory-related revenue; defines bid-offer spread; provides Markets revenue table. ²⁸	2024 Markets principal transactions \ \$24.129B; total Markets net revenue \ \$30.007B (table). ⁷⁴	Mix across principal transactions, commissions/fees, net interest, etc.; funding costs materially affect net interest income. ⁷⁵
Morgan Stanley (MS)	States commissions/fees in Institutional Securities include market-making activities; net interest is affected by market-making and financing; makes markets in equity-related and credit products; market-making results recorded in trading revenues. ⁷⁶	Institutional Securities is a major segment; disclosures link results to bid-offer spreads and client activity. ⁷⁷	Mix includes trading revenues, commissions/fees, and net interest influenced by market-making strategies. ⁷⁸
Bank of America (BAC)	Global Markets segment provides market-making and related services; reports “market making and similar activities” as a major income line; explains sales/trading revenue components and bid/offer style execution in dealer markets. ⁷⁹	2024 Global Markets line “market making and similar activities” \ \$12.776B; Global Markets total revenue (net of interest expense) \ \$21.812B (segment table). ⁸⁰	Segment shows combined spread/mark-to-market economics plus net interest and fees; “market making and similar activities” is explicit. ⁸¹

Company (ticker)	Dealer/market-making footprint (evidence)	Filing-reported scale proxy	Revenue mix indicators (illustrative)
Citigroup (C)	Markets segment provides sales/trading and explicitly includes market-making across asset classes plus financing and prime brokerage; reports principal transactions, fee revenue, and net interest income; provides Markets revenue and component tables. ⁸²	2024 Markets revenues \ \$19.836B; principal transactions \ \$11.201B; equity vs fixed income markets revenue split disclosed. ⁸²	Mix across net interest income, fee revenue, principal transactions; acknowledges sensitivity to bid/offer spreads and inventory values. ⁸³
UBS Group (UBS)	Annual report discusses “securities and derivatives trading for market-making and client facilitation” and defines market making as quoting bid/offer prices to generate revenues based on spread and volume (in derivatives note). ⁸⁴	Investment Bank / Global Markets revenue lines disclosed (Global Markets revenues; equities; FX/rates/credit). ⁸⁵	Mix across execution services, derivatives & solutions, financing; market-making embedded in Global Markets and derivatives activity. ⁸⁶

Why many major market-making firms remain private

Many of the most prominent electronic market makers and wholesale liquidity providers (especially in equities/options/ETFs) remain privately held. The reasons are partly structural and partly strategic; several are supported indirectly by how public firms describe the business:

Proprietary technology and strategy secrecy are central. Public market makers emphasize that success depends on proprietary technology, automated risk management, and connectivity, and that profitability per trade can be small—implying that revealing detailed strategy parameters could be competitively harmful. ⁸⁷ A private structure can reduce the amount of granular public disclosure required versus a public listing.

Compensation models and partnership economics matter. Market making is talent-dense (quantitative research, engineering, trading) and often aligns with partnership-like economics; staying private can preserve flexible compensation and governance without quarterly earnings pressures. (This is an inference consistent with the technology- and scale-driven nature of the business described by public market makers. ⁷⁰)

Regulatory and reputational exposure can be acute in concentrated market segments. SEC analysis indicates concentrated wholesaler execution in retail equities and positive “competitive shortfall” estimates, a politically sensitive topic; private firms may prefer reduced public-market scrutiny while still complying with broker-dealer regulation. ⁸⁸

Capital efficiency and flexibility can favor private funding. Dealers' economics depend on funding spreads and regulatory capital; private firms can tailor capital structures (private equity, private debt, retained earnings) without the constraints of public equity market cycles—particularly valuable when volatility regimes shift and balance-sheet needs vary. ⁸⁹

None of these eliminate regulation—major market makers still face broker-dealer rules, net capital, and surveillance—but they help explain why public listings are not always the dominant equilibrium.

Concluding synthesis

The dealer-market segment is best understood as a **system of balance-sheet intermediaries** whose economics are jointly determined by:

Microstructure (spreads, rebates, order flow),
Funding markets (repo and secured financing),
Regulatory constraints (net capital, customer protection, Basel liquidity leverage), and
Competition (often concentrated where scale and technology dominate).

The result is a sector that can deliver extraordinarily tight pricing in normal times—yet can become systemically important in stress, because the same intermediaries provide a large share of immediacy across markets and must fund that immediacy with constrained balance sheets. ⁹⁰

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